

+ businesses is that there was very little money invested in any of them at startup. Heads, I win; tails, I don't lose much!

In 2005, they put a line of electronic products called Virgin Pulse into Target stores.⁴ Target asked them to develop an exclusive line of designer personal electronics only for Target. Target guaranteed them prime floor space, so Virgin had zero distribution cost or risk. It had Ecco, a chic design shop, create the line, and they found a Chinese company to manufacture it—retaining good margins for Virgin. Its downside was very limited and upside was huge. The parties who took much of the risk were the manufacturers, who had to commit capacity beyond confirmed orders, and Target, which had to set aside valuable shelf space in every store. To launch it, the Virgin Group leveraged Branson at a New York party dancing with some hot models wearing the Virgin Pulse line on their person. It put very little money into it—classic Dhandho at work. Heads, I win; tails, I don't lose much!

Another example of classic Dhandho is Virgin Mobile, Virgin's cell phone service in the United States. Virgin Mobile does not own or operate a cell phone network. Sprint provides the entire backend and delivers the service under the Virgin Mobile brand. Virgin targeted teens with this service and focused the offering to be very attractive to teens—cool phones and phone skins, prepaid phone cards, and the teen-centric Virgin brand. Virgin's investment was very low. If it failed, it had virtually no downside. Sprint provided all the technology, billing, and customer service infrastructure. Virgin provided the branding and product positioning, and it took a large chunk of the profits. If it worked, there was huge upside for Virgin and a negligible downside if it failed. Virgin Mobile scaled very rapidly. It set a record for the fastest business to move from startup to over \$1 billion in revenues—less than three years. Again it's "Heads, I win; tails, I don't lose much!"

In 1997, the Virgin team, along with the Royal Bank of Scotland, offered an innovative mortgage product under the Virgin Mortgage brand called the Virgin One Account.⁵ This revolutionary mortgage product looked at any cash the borrower had in his or her checking account, and netted it against the loan balance and only charged interest on the net loan balance. Again,